

Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2022

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Company Information

Directors	E Fraser JC Paton NS Curham (resigned 14 January 2022) B Lantorp (resigned 14 January 2022) GA Cook (appointed 30 June 2022) S Peacock (appointed 30 June 2022)
Company number	07160664
Registered office	60 Gresham Street, London, EC2V 7BB
Auditor	KPMG LLP St Nicholas House, 31 Park Row, Nottingham, NG1 6FQ
Banker	HSBC Bank UK 71 Queen Victoria Street, London, EC4V 4AY

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Alpha Financial Markets Consulting Plc group (the 'Group'). At 31 March 2022 (FY 22¹) the Company holds net assets of £14,923,000 (FY 21: £7,984,000). The Company has transferred a profit of £19,439,000 (FY 21: £5,506,000) to retained earnings as a result of intercompany dividend income received from the Company's subsidiary, offset by costs relating to deferred consideration and earn-out payments due on the acquisitions of Obsidian Solutions Limited ('Obsidian') and Axxsys Limited ('Axxsys') in previous years, and those relating to the acquisition of Lionpoint Holdings, Inc in the current year.

Key performance indicators

Working capital management and the sufficiency of assets held across the Group is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group undertaking and compare actual performance against budget. Costs, utilisation and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company's subsidiaries is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company's subsidiaries continue to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management is mindful of the challenging macro-economic environment, including inflation and the war in Ukraine, and continues to operate conservative cash management policies. The Directors are pleased with performance for the year.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are foreseen by the Directors at the balance sheet date.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- The likely consequence of any decision in the long term;
- The interests of the Company's employees;
- The need to foster the Company's business relationships with suppliers, customers and others;
- The impact of the Company's operations on the community and the environment
- The desirability of the Company maintaining a reputation for high standards of business conduct; and
- The need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of the Companies Act 2006. The Company is a holding company and does not have any employees or clients itself, therefore the disclosure below relates to the Company and its subsidiaries (as listed in note 8 to the financial statements).

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, its shareholders, its clients and the communities in which the Company and its subsidiaries operate. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with whom Alpha works or associates in the marketplace. The Board understands that engaging with these stakeholders strengthens Alpha's business relationships and facilitates its decision making at an executive level, which is very important for its long-term success.

Employees

Attracting, retaining and developing the very best people in the industry is integral to Alpha's culture and ongoing success. Alpha is committed to providing a highly rewarding place to work, and to maintaining a unique and inclusive culture that places people at the heart of the business. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture. An inclusive environment for all employees is encouraged through the prevalence of the Diversity & Inclusion programme, and employees are incentivised to engage further with the wider objectives of the business through a generous profit share scheme, and a share incentive plan available to senior management.

Clients

Alpha's successful business model is built upon keeping clients' needs at the core of its proposition, which includes its geographic network, the services it offers and the types of projects that it delivers. Central to the growth strategy is continuous investment in people, locations and knowledge to help all clients address their challenges and best capitalise on opportunities. Alpha works hard at developing and sustaining long-term client relationships.

¹ Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

² FY 22 is the financial year covering the 12 months to 31 March 2022. By comparison, FY 21 is the previous financial year covering the 12 months to 31 March 2021.

Strategic report (continued)

Communities

Alpha is committed to building positive relationships with the communities and environment in which it operates. This includes supporting communities and organisations local and relevant to its operations. It extends to considering how to maximise the benefits and minimise the downsides of its environmental and social impacts.

Please refer to pp 32-34 of the Annual Report & Accounts 2022 of the ultimate parent company, Alpha Financial Markets Consulting Plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Key Director decisions during the year

The Directors consider the following to be key decisions and considerations they have made in the year to 31 March 2022.

For further information please refer to p.35 of the Annual Report & Accounts 2022 of the Company's ultimate parent (Alpha Financial Markets Consulting Plc).

Decision	Considerations
Issued the FY 21 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board considered the continuing impact of COVID-19 and the mitigating measures put in place by the senior management team.	To address the long-term interests of stakeholders and protect the Company's balance sheet.
The Board agreed the FY 22 interim dividend payable to the Company's parent, Alpha FMC Group Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.
The Board considered the Company's strategic priorities at its dedicated strategy sessions.	To ensure that the strategy is still appropriate and to review progress against strategic goals.

By order of the Board.



John C Paton
Director

12 October 2022

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2022.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the attached profit and loss account.

An interim dividend payment totalling £12,500,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 21: £6,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt in the year of a dividend totalling £25,953,000 from the Company's subsidiaries. The Directors have not recommended the payment of a final dividend (FY 21: nil).

On 20 May 2021, the Group reached an agreement to acquire 100% of the issued share capital of Lionpoint Holdings, Inc. ("Lionpoint"), a provider of specialist consultancy services to the alternatives investments industry, on a cash free, debt free basis, for consideration of £50.8m. The Directors consider that the acquisition is in line with the Group's stated growth strategy, significantly increasing both the Group's exposure to the attractive and fast-growing alternatives investments market and its footprint in the large and strategically important North America segment. For further detail please refer to note 8.

For further information on the likely future developments of the business, please refer to the strategic report.

Directors

The Directors who held office during the year and at the date of this report were as follows:

E Fraser
JC Paton
GA Cook (appointed 30 June 2022)
S Peacock (appointed 30 June 2022)
NS Curham (resigned 14 January 2022)
B Lantorp (resigned 14 January 2022)

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

Employee involvement

Details of how the Company and its subsidiaries engage with employees are set out in the Section 172 statement the Strategic Report on p.2.

It is the Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company and its subsidiaries.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not re-disclosed those disclosures required by the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's Annual Report & Accounts 2022 on pp.76-80.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London EC2V 7BB

12 October 2022

Statement of Directors' responsibilities in respect of the strategic report and the directors' report and the financial statements

The Directors are responsible for preparing the strategic report and the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2022 which comprise the balance sheet, profit and loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2022 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions. We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Fraud and breaches of laws and regulations – ability to detect (continued)

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 5, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

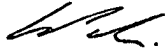
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

St Nicholas House,

31 Park Row,

Nottingham,

NG1 6FQ

13 October 2022

Profit & loss account
for the year ended 31 March 2022

	Note	Year ended 31 March 2022 £000	Year ended 31 March 2021 £000
Administrative expenses	2	(4,045)	(3,612)
Operating loss		(4,045)	(3,612)
Interest payable and similar expenses	6	(2,487)	(882)
Income from shares in Group undertakings		25,953	10,000
Profit before taxation		19,421	5,506
Taxation	7	18	-
Profit for the financial year		19,439	5,506

The Company had no discontinued operations in both the current and prior years.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2022

	Note	As at 31 March 2022 £000	As at 31 March 2021 £000
Non-current assets			
Investments	8	85,171	31,541
Amounts owed by Group undertakings	9	35	22,718
		<u>85,206</u>	<u>54,259</u>
Current assets			
Debtors	9	15,387	326
Cash at bank and in hand	10	31,184	124
		<u>46,571</u>	<u>450</u>
Current liabilities			
Creditors: amounts falling due within one year	11	(96,708)	(37,654)
		<u>(96,708)</u>	<u>(37,654)</u>
Net current liabilities		<u>(50,137)</u>	<u>(37,204)</u>
Total assets less current liabilities		<u>35,069</u>	<u>17,055</u>
Non-current liabilities			
Creditors: amounts falling due after one year	12	(20,146)	(9,071)
Net assets		<u>14,923</u>	<u>7,984</u>
Capital and reserves			
Called up share capital	13	6,051	6,051
Share premium account	13	1,437	1,437
Capital contributions reserve		72	72
Other reserves		137	137
Profit and loss account		7,226	287
Shareholders' funds		<u>14,923</u>	<u>7,984</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 12 October 2022. They were signed on its behalf by:



John C Paton
Director

Company registered number: 07160664

Statement of changes in equity

	Called up share capital £000	Share premium account £000	Capital contributions reserve £000	Other reserves £000	Profit and loss account £000	Total Shareholders' funds £000
As at 1 April 2020	6,051	1,437	72	137	781	8,478
Total comprehensive income for the period						
Profit for the period	-	-	-	-	5,506	5,506
Transactions with owners						
Dividends	-	-	-	-	(6,000)	(6,000)
As at 31 March 2021	6,051	1,437	72	137	287	7,984
Total comprehensive income for the period						
Profit for the period	-	-	-	-	19,439	19,439
Transactions with owners						
Dividends	-	-	-	-	(12,500)	(12,500)
As at 31 March 2022	6,051	1,437	72	137	7,226	14,923

The accompanying notes form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs") but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing undrawn borrowing facilities.

Notwithstanding net current liabilities of £50,137,000 as at 31 March 2022, the financial statements of this holding company have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales that the Group would be able to absorb over the going concern period before utilising all of the existing cash reserves available. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires annualised revenue reductions of close to 40% compared to the base case, before modelling any mitigating actions, including cost reductions. Refer to p 136 of the Group's 'Annual Report & Accounts 2022' for further detail of these forecasts.

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2022 amounted to £76,426,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2022. The Group's RCF remains fully undrawn in the going concern scenarios. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements

1.3 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses.

Judgements

In the process of applying the Company's accounting policies, the Directors have made one judgement (excluding those involving estimations), which is considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2022.

Notes (continued)

1 Accounting policies (continued)

1.3 Significant judgements and estimates (continued)

Employment-linked acquisition payments

The contingent consideration related to the Company's acquisition of Obsidian in 2019 was part linked to the ongoing employment of a member of the vendor's management team and some judgement has been applied in determining the extent to which these future payments should be classified as consideration or as remuneration for future employment services. The classification of these amounts in the financial statements is based on the interpretation of complex clauses within the share purchase agreement ("SPA"). The proportion of future payments that are forfeited in the event of the employment condition lapsing varies depending on several factors, including the length of employment. At the point of acquisition, judgement was applied in determining that £6.5m of the possible total £9.3m of contingent consideration was classified as remuneration for future employment services, and this amount was to be recognised in profit or loss over the earn-out period.

Estimates

The Company has also made an estimate in the preparation of the financial information. The assumptions underlying the estimate are based on historical experience and various other factors that are deemed to be reasonable under the circumstances. These assumptions form the basis of developing estimates of the carrying values of assets and liabilities that are not apparent from other sources. The estimate and underlying assumptions are reviewed on an ongoing basis. Revisions to the estimate are recognised in the year in which the estimate is revised and any future years affected. Actual results can differ from the estimate.

The Directors have identified the following area as the key estimate that is considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Acquisition earn-outs

Alpha's acquisition earn-out liability calculations contain estimation uncertainty, as the earn-out potentially payable in each case is linked to the future performance of the acquiree. To determine the fair value of the earn-out liability at the balance sheet date, management has assessed the potential future cash flows of the acquired businesses respectively, the likelihood of an earn-out payment being made and discounted using an appropriate discount rate. These estimates could potentially change because of events over the coming years. Refer to note 12 for sensitivity analysis.

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2022, the Company had no such financial liabilities.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Other financial liabilities held by the Group are recognised at amortised cost.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Other creditors

Other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitors for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Non-financial assets

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Contingent and non-contingent deferred consideration on acquisition

Contingent and deferred consideration may arise on acquisitions. Deferred consideration may arise when settlement of all or part of the cost of business combination falls due after the acquisition was completed. Contingent consideration may arise where consideration is dependent on the future performance of the acquired company.

Deferred and contingent consideration associated with business combinations settled in cash is assessed in line with agreed contractual terms. Consideration payable is discounted for the time value of money and recognised as capital investment cost at fair value when the deferred or contingent consideration is not employment-linked. Alternatively, where amounts payable are contingent upon future employment, these amounts are recognised as a remuneration expense over the deferral or contingent performance period.

In circumstances where there is an option to settle in the form of cash or a variable number of shares, the Company recognises a financial liability for the fair value of the discounted consideration. Where consideration is settled in a fixed number of shares, the consideration is classified as equity, it is not re-measured, and settlement is accounted for within equity. Otherwise, subsequent changes to the fair value of the deferred and contingent consideration are recognised in the statement of comprehensive income.

At each balance sheet date, consideration liabilities comprise the fair value of the remaining contingent or deferred consideration valued at acquisition, and the cumulative value of the employment-linked amounts recognised through statement of comprehensive income since acquisition.

At each balance sheet date, the fair value of the liabilities initially recognised at the acquisition date are measured using level 3 inputs in accordance with the fair value hierarchy and as such these calculations contain estimation uncertainty, as they relate to future performance. The key inputs associated with the valuation of these liabilities include the potential future cash flows of each acquired business, the likelihood of an earn-out payment being made and developing an appropriate discount rate to apply to these future cash flows. Changes in the carrying value of these liabilities associated with the passage of time are recognised as a finance cost, whereas changes in the underlying forecasts supporting the fair value are recognised within administrative expenses as an adjusting item.

Notes (continued)

1 Accounting policies (continued)

1.8 Taxation

Taxation expense on the result for the period comprises current and deferred tax. Current and deferred tax is recognised in the consolidated statement of comprehensive income, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.9 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividend expense

Dividend expenses are recognised in the statement of changes in equity on the date the entity's right to pay the dividend is established.

1.10 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2022. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- Interest Rate Benchmark Reform – Phase 2 - (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16), effective from 1 January 2021;
- COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16), effective from 1 January 2021;

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2022.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Administrative expenses

	FY 22 £000	FY 21 £000
Fair value adjustment on contingent acquisition consideration	(2,677)	1,057
Employment-linked consideration	4,100	2,549
Social security on employment-linked consideration	228	-
Foreign exchange loss	2,355	6
Other	39	-
	<u>4,045</u>	<u>3,612</u>

3 Auditor's remuneration

	FY 22 £000	FY 21 £000
Audit of these financial statements	<u>25</u>	<u>14</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

Notes (continued)

4 Staff numbers and costs

The Company had no employees during the current or prior periods.

5 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore have not been disclosed.

6 Interest payable and similar expenses

	FY 22	FY 21
	£000	£000
Interest payable	-	79
Unwinding of discounting on deferred and contingent consideration	2,487	803
	<u>2,487</u>	<u>882</u>

7 Taxation

Recognised in the profit and loss account

	FY 22		FY 21	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Group relief payable/(receivable)		(18)		-
Adjustments in respect of prior periods		-		-
		<u>(18)</u>		<u>-</u>
Total current tax		(18)		-
<i>Deferred tax</i>				
Adjustments in respect of prior periods	-		-	
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
		(18)		-

Reconciliation of effective tax rate

	FY 22	FY 21
	£000	£000
Profit for the year	19,439	5,506
Total tax credit	(18)	-
	<u>19,421</u>	<u>5,506</u>
Profit excluding taxation	19,421	5,506
Tax using the UK corporation tax rate of 19% (FY 21: 19%)	3,690	1,046
Income not taxable for tax purposes	(4,931)	(1,900)
Non-deductible expenses	1,223	838
Group relief surrendered	18	16
Group relief payment received	(18)	-
	<u>(18)</u>	<u>-</u>
Total tax credit	(18)	-

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the year on 24 May 2021. Once effective, this change would increase the Company's future current tax charge accordingly.

On 23 September 2022, the UK Government announced revised plans to hold the rate of UK corporation tax at 19%, cancelling the previous plans to increase the rate to 25% from 1 April 2023. This revised plan has not yet been substantively enacted and has no impact on the current or deferred tax charge in the year ended 31 March 2022.

Notes (continued)

8 Fixed asset investments

	Shares in Group undertakings £000
Cost	
At 1 April 2020	22,811
Additions	8,730
Disposals	-
At 31 March 2021	31,541
Additions	53,630
Disposals	-
At 31 March 2022	85,171

The Company's fixed asset investments are all in relation to investments in subsidiaries. The Company holds no tangible fixed assets.

On 20 May 2021, the Company reached an agreement to acquire 100% of the issued share capital of Lionpoint Holdings, Inc. ("Lionpoint"), a provider of specialist consultancy services to the alternatives investments industry, on a cash free, debt free basis. As a result, the Company recognised an investment totalling £50.8m of which £24.6m relates to base consideration payable at the acquisition date, with an additional £11.7m of deferred consideration payable between FY 22 and FY 25, and contingent consideration with a fair value of £14.5m at the acquisition date, also payable between FY 22 and FY 25. The fair value of contingent consideration is subject to review at each reporting period.

The Directors consider that the acquisition is in line with the Company's stated growth strategy, significantly increasing both the Group's exposure to the attractive and fast-growing alternatives investments market and its footprint in the large and strategically important North America segment.

Further, during the year the Group made a capital contribution of £2.8m to its US-based subsidiary, Alpha Financial Markets Consulting Inc.

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2022	Class and percentage of shares held - 31 March 2021
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Data Solutions Limited ¹	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	11	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc	Canada	12	Consultancy services	100% ordinary	100% ordinary
Axxsys Limited	UK	13	Consultancy services	100% ordinary	100% ordinary
Axxsys Financial Software Consulting Canada Limited	Canada	13	Consultancy services	100% ordinary	100% ordinary
Axxsys Consulting USA Inc	USA	14	Consultancy services	100% ordinary	100% ordinary
Axxsys Danmark ApS	Denmark	15	Consultancy services	100% ordinary	100% ordinary
Lionpoint Holdings, Inc.	USA	16	Consultancy services	100% ordinary	N/A
Lionpoint Group, LLC	USA	17	Consultancy services	100% ordinary	N/A
Lionpoint Group (UK) Limited	UK	18	Consultancy services	100% ordinary	N/A
Lionpoint Group SA	Switzerland	19	Consultancy services	100% ordinary	N/A
Lionpoint Group Pty Limited	Australia	20	Consultancy services	100% ordinary	N/A
Lionpoint GmbH	Germany	21	Consultancy services	100% ordinary	N/A
Alpha Financial Markets Consulting (Insurance) France S.A.S.	France	3	Consultancy services	100% ordinary	N/A

¹ Alpha Data Solutions Limited changed to Aiviq Limited after 31 March 2022.

Notes (continued)

8 Fixed asset investments (continued)

Notes:

1. 60 Gresham Street, London, EC2V 7BB
2. 12 East 49th Street, New York, NY 10017, USA
3. 6 Square de L'Opéra Louis Jouvét, 75009 Paris, France
4. 19/21 Route d'Arion – bloc B, L-8009 Strassen, Luxembourg
5. Spaces Zuidas, Barbara Strozzi laan 101, 1083 HN, Amsterdam, The Netherlands
6. Bleicherweg 10, 8002 Zürich, Switzerland
7. Kurt- Blum- Platz 8 63450 Hanau, Germany
8. 6 Raffles Quay #16-01, Singapore 048580
9. 22/F., Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
10. 383-385 George Street, Sydney NSW 2000
11. Belgrade, Serbia at Bulevar kralja Aleksandra no.52
12. Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
13. New Broad Street House, 35 New Broad Street, London, EC2M 1NH
14. Incorp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899
15. Flasketorvet 68, DK-1711 Copenhagen, V Denmark
16. 251 Little Falls Drive, Wilmington, DE 19808-1674, USA
17. 8 The Green, Suite A, Dover, Delaware 19901, USA
18. 5 Upper St. Martin's Lane, London, WC2H 9EA
19. Rue d'Italie 11, 1204, Geneva, Switzerland
20. Ground Floor, 123 Walker Street, North Sydney NSW, 2060, Australia
21. c/o KUNZ Rechtsanwälte, Antoniterstraße 14-16, Köln, 50667, Germany

9 Debtors

	FY 22 £000	FY 21 £000
Amounts owed by Group undertakings	15,387	326
	<u>15,387</u>	<u>326</u>

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £15,423,000 (FY 21: £23,044,000) of amounts owed by Group undertakings, the Company recognised £35,000 (FY 21: £22,718,000) within non-current assets and £15,387,000 (FY 21: £326,000) within current assets.

10 Cash and cash equivalents

	FY 22 £000	FY 21 £000
Cash and cash equivalents	31,184	124
Balance as at 31 March 2022	<u>31,184</u>	<u>124</u>

11 Creditors: amounts falling due within one year

	FY 22 £000	FY 21 £000
Amounts owed to Group undertakings	76,426	35,746
Other creditors	20,282	1,908
	<u>96,708</u>	<u>37,654</u>

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand. It is the understanding of the Directors that the other Group entities have no intention to request the repayment of amounts owed within the next twelve months.

Other creditors £20.3m relates to the deferred and contingent consideration, and other acquisition costs, due on the acquisition of Lionpoint in the next twelve months and the remaining contingent consideration payment arising from the acquisition of Axxsys Limited at the balance sheet date, which was paid shortly after year end.

Notes (continued)

12 Creditors: amounts falling due after more than one year

	FY 22	FY 21
	£000	£000
Other creditors	20,146	9,071
	<u>20,146</u>	<u>9,071</u>

Within creditors falling due after more than one year is £1.9m (FY 21: £4.4m) associated with the potential earn-out payments linked to the acquisition of Obsidian Solutions Limited and £18.2m (FY 21: £nil) associated with deferred and contingent earn-out payments relating to the Lionpoint acquisition.

Of the total £40.4m acquisition-related liability at the balance sheet date, £13.8m relates to deferred consideration and the remaining £26.6m relates to contingent consideration. Within these deferred and contingent consideration liabilities, £2.2m relates to employment-linked amounts.

Sensitivity analysis

The Company is liable for contingent earn-out payments on the acquisitions of Axxsys, Obsidian and Lionpoint and, as at 31 March 2022, holds a liability that represents the fair value of amounts that may become payable.

The fair value is determined by estimating the expected payment, discounted to present value, using a risk-adjusted discount rate. The expected payment is determined separately in respect of each individual earn-out agreement, taking into consideration the expected level of financial performance of each acquisition. The Company has assessed the estimation uncertainty of the liability held in relation to contingent consideration, inclusive of employment-linked amounts. This provides a single sensitivity for each acquisition at the balance sheet date, as sensitivities applied to common underlying assumptions affect both elements of the liability.

Lionpoint

If the discount rates used for the Lionpoint acquisition were to be 5% higher or lower than that assumed by management, the fair value of the liability recognised within the Company would not change by a material amount.

Were the financial performance achieved by Lionpoint in the remaining earn-out period to increase by 5%, there would be a £0.9m increase to the earn-out while a decrease of 5% would cause a £2.3m fall in the undiscounted earn-out. Additionally there would be a £1.4m decrease in the liability as at 31 March 2022, should the financial performance fall by 5%. While a 5% increase would result in a £0.5m increase in the liability.

The Directors have also considered a reasonable range of circumstances to sensitise the forecast cash flows to calculate reasonable estimated earn-out pay-out ranges for the Lionpoint acquisition. The directors have determined that the reasonable range of undiscounted earn-out payments is between £14.5m and £24.4m.

Axxsys

The Axxsys undiscounted earn-out payment has been made following the end of the year to a value of £5.0m, therefore there was a high degree of certainty regarding this amount at the balance sheet date.

Obsidian

The Directors have revised the range from the prior year of the total undiscounted cash outflows in relation to the Obsidian earn-out given the profitability of Obsidian to date and the Company's latest forecasts. The Directors consider the Obsidian undiscounted earn-out payments could reasonably be expected to be a minimum of £nil (FY 21: £5.3m), while the total undiscounted cash outflows in relation to the earn-out could reasonably reach a maximum of £5.6m (FY 21: £9.3m).

The Directors have considered that if financial performance or the discount rate were to be 5% higher or lower, this would not have a material impact on liability recognised nor the undiscounted earn-out.

13 Capital and reserves

Share capital

	FY 22	FY 21
	£000	£000
<i>Allotted, called up and fully paid</i>		
328,243 ordinary 'A' shares of 10p each	33	33
5,970,623 ordinary 'B' shares of £1 each	5,971	5,971
3,788 ordinary 'C' shares of £3.10 each	12	12
82,413 ordinary 'ANV' shares of 10p each	8	8
1,685 ordinary 'E' shares of 1p each	-	-
100,000 ordinary 'Lux' shares of 10p each	10	10
250,000 ordinary 'USA' shares of \$0.10 each	15	15
24,450 ordinary 'UK' shares of 10p each	2	2
	<u>6,051</u>	<u>6,051</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium as at 31 March 2022 and 31 March 2021 of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

An interim dividend payment totalling £12,500,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 21: £6,000,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt in the year of a dividend totalling £25,953,000 from the Company's subsidiaries. The Directors have not recommended the payment of a final dividend (FY 21: nil).

Notes (continued)

14 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

15 Ultimate parent company

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.